Heranba Industries Ltd.

Q2FY23 Result Update | Agro Chemicals

Gross Margin back to company level

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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Heranba saw sharp recovery in revenue & gross margins are back to company level after challenging Q1FY23.Management maintains revenue guidance of 15-17% on full year basis with 16-18% EBITDA margin.Sarigam Phase 1 to be operational from Q1FY24 & Phase 2 from Q3FY24.

Rating	TP (Rs)	Up/Dn (%)
BUY	**750**	**44**

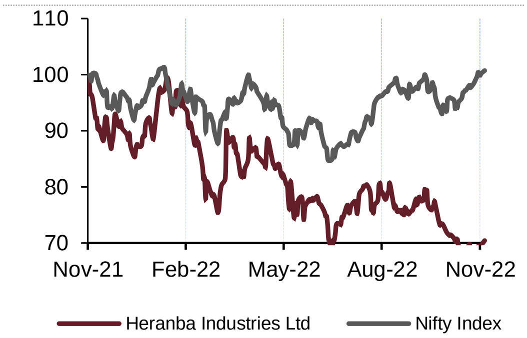
Market data		
Current price	**Rs**	**521**
Market Cap (Rs.Bn)	(Rs Bn)	21
Market Cap (US$ Mn)	(US$ Mn)	253
Face Value	Rs	10
52 Weeks High/Low	Rs	756 / 480
Average Daily Volume	('000)	29
BSE Code		543266
Bloomberg		HERANBA.IN

Source: Bloomberg

Key business highlights

- Resignation of Independent director (Mr.Kaushik Hasmukh Gandhi) due to personal reason ; resignation of whole time executive director (Mrs.Vanita R Shetty) due to personal reason & professional committments (Insignificant in our view ; Purpose is to reduce board size)
- Capex : Spent ₹ 410 million at Sarigam facility during H1FY23 ; will be spending additional ₹ 1,000 million in H2FY23. Commercial production of technical grade pesticides and intermediates from the Sarigam facility is likely to commence from Q1FY24 adding meaningful contribution to the company's revenues.
- Revenue growth of ~19% on YoY basis largely on account of strong performance in domestic markets navigating uneven monsoon distribution
- Export business was impacted by the lockdown in China coupled with volatile global macroeconomics (China contributes ~22% to Heranba's topline ; Export to domestic mix in H1FY23 stands at 32:68 vs historical 50:50)
- EBITDA margins were under check due to higher raw material prices and a rise in power & fuel costs.
- Management believes domestic agrochemical industry is likely to do well in H2FY23 due to residual moisture owing to the late withdrawal of the southwest monsoon, higher reservoir levels and a rise in MSP (Minimum Support Prices) of Rabi crops for the upcoming 2023-24 marketing season.

One Year Performance



Source: Bloomberg

% Shareholding	**Sep-22**	**Jun-22**
Promoters	74.87	74.83
Public	25.13	25.17
Total	**100**	**100**

Source: Bloomberg

Key Risk:

- **Key Pyrethroid prices & fluctuation**
- **Erratic monsoon**
- **Delay in implementation of capex**

Financial Summary

Y/E Mar (Rs mn)	FY18	FY19	FY20	FY21	FY22	FY23E	FY24E
Net sales	7,412	10,044	9,514	12,186	14,504	16,969	19,854
Growth Y-o-Y (%)		*35.5*	*(5.3)*	*28.1*	*19.0*	*17.0*	*17.0*
EBIDTA	878	1,314	1,293	2,213	2,598	2,943	3,495
Growth Y-o-Y (%)		*49.7*	*(1.6)*	*71.1*	*17.4*	*13.3*	*18.7*
Margins (%)	11.8	13.1	13.6	18.2	17.9	17.3	17.6
Adjusted net profit	469	754	977	1,542	1,891	2,131	2,501
Growth Y-o-Y (%)		*60.9*	*29.5*	*57.9*	*22.6*	*12.7*	*17.4*
EPS (Rs)	60.0	19.3	25.0	38.5	47.3	53.3	62.5
P/E (x)	9	29	23	15	12	11	9
EV/EBITDA (x)	6	17	17	10	8	7	5
RoCE (%)	35.5	45.1	33.3	35.7	31.3	27.8	26.4
RoE (%)	29.8	33.0	30.4	29.2	26.5	23.3	21.9

Source: Dalal & Broacha Research, Company

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- Management has revised the annual revenue guidance from 18-20% growth to 15-18% growth & EBITDA Margins from 18-20% to 16-18%
- Sarigam Phase 1 to be commissioned in Q1FY24 & Phase 2 by Q3FY24

Key financial highlights

- **Revenue at INR 4,207 Mn, +19% YoY / +16% QoQ (YoY growth on lower base year due to poor monsoon in base quarter,pent up demand of previous quarter ; Also QoQ growth is on lower base because of supply disruptions to China)**
- **EBITDA (Excl OI) at INR 658 Mn, +7% YoY / +43% QoQ (Despite ~19% revenue growth EBITDA remained flat on YoY basis owing to higher employee,power & fuel cost ; QoQ growth not comparable due to supply disruption to China in base quarter)**
- **EBITDA margin (Excl OI) at 15.6% vs 17.3% / 12.7% in Q2FY22 / Q1FY23**
- **PAT at INR 472 Mn, +3% YoY / +41% QoQ (Flat on YoY basis due to lower EBITDA & increased depreciation on account of capex)**
- **EPS stood at INR 11.8 vs 11.4 / 8.4 in Q2FY22 / Q1FY23**

Quarterly Financials

(Rs.Mn)	Q2FY23	Q2FY22	YoY Growth (%)	Q1FY23	QoQ Growth (%)
Revenue from Operations	**4,207**	**3,534**	**19%**	**3,619**	16%
Other Income	40	52	-23%	44	-10%
Cost of Goods sold	2,709	2,257	20%	2,476	9%
Employee Benefits Expense	190	150	27%	150	27%
Other Expenses	650	515	26%	533	22%
Total Expenses	3,549	2,923	21%	3,159	12%
EBITDA (Excluding Other Income)	**658**	**612**	**7%**	**460**	**43%**
Depreciation and Amortisation Expenses	56	38	48%	53	6%
EBIT / PBIT	**642**	**626**	**3%**	**452**	**42%**
Finance Costs	16	12	35%	12	31%
EBT/ PBT	**626**	**614**	**2%**	**440**	**42%**
Tax Expense	155	158	-2%	106	46%
Net Profit after Tax	**472**	**456**	**3%**	**334**	**41%**
Earning Per Share	11.8	11.4	3%	8.4	41%
Margins (%)					
Gross Margins	35.6%	36.1%	-53	31.6%	402
EBITDA Margins (Excl Other Income)	15.6%	17.3%	-168	12.7%	291
PAT Margins	11.1%	12.7%	-162	9.1%	198

Source: Dalal & Broacha Research

YoY Revenue growth on lower base year due to poor monsoon in base quarter,pent up demand of previous quarter ; Also QoQ growth is on lower base because of supply disruptions to China

Despite ~19% revenue growth EBITDA remained flat on YoY basis owing to higher employee,power & fuel cost ; QoQ growth not comparable due to supply disruption to China in base quarter

Did you know?

Heranba marks its entry in the most regulated market of USA in October 2021 by sending its first consignment of insecticide.

Management Concall KTAs

- **Maintains revenue guidance at 15-17% & 16-18% EBITDA margin guidance ; Outlook for H2FY23 : Positive on account of good monsoon in Q2FY23 ; FY24 revenue guidance of 18-20% & 18-20% EBITDA Margin**
- **Price hike in Q2FY23 : In few products ; Insignificant to overall revenue ; Won't take further price hikes ; RM prices have not gone down**
- **Domestic formulation which is a lower margin business for Heranba starting to show improvement in margin on account of operating leverage**
- **Capex @ Sarigam (Rs. 1,400 Mn) :**

  Phase 1 : Q1FY24 (5,000 MTPA) ; Pyrethroid + other insecticides

  Phase 2 : Q3FY24 (5,000 MTPA) ; 3-4 fungicides
- **Expected Asset T/O of 3x at 80-85% capacity utilization which will be reached after 1 year of commercialization ; Technical manufacturing ; expecting 50% capacity utilization in 1st year of operation**
- **Capex @ Saykha (Rs.1,500 Mn) : Capex to be incurred in FY24 ; Expected commercialization in FY25 ; dedicated herbicide plant ; asset t/o : ~3x ; 10K MTPA ; planned in phased manner ; 2 products already shortlisted by R&D**
- **Capex plans to be funded through internal accruals ; may take term loans only if required**

- Registrations : 1 in Europe (Received in Q2FY23)
  2 in USA (Expected by Q4FY23)
- Sales to China contributed ~22% of overall revenue in H1FY23 vs 18% H1FY22 (Q4 & Q1 quarters are usually seasonally strong for China) ; No aim to reduce China exposure ; started exporting one new intermediate to China ; continues to remain strong market for Heranba
- Export contribution likely to better in Q4 on account of seasonally strong quarter across Asia-Pacific
- Capacity Utilisation : Technicals @ 90% ; Formulations @ 55%
- 10% increase in number of employees ; converted few employees from contract to company payroll
- Kharif : Rabi Mix = 60 : 40
- Sales to USA : 2x compared to L.Y on low base (Rs.150 Mn is expected to double to Rs.300 Mn by end of FY23 & Rs.500 Mn by end of FY24)
- 26% rise in other expenses mainly on account of rise in energy & freight cost to the tune of 35-37% ; now they have stabilized
- No PLI benefit for the agrochemical industry
- Product Basket comprises of total 13-14 products ;
  7 products in pyrethroid range (Fully backward integrated)

Valuation & Outlook

With sales & gross margin back on track there is near term respite for the company. Future growth trigger will be mainly once Sarigam facility comes on stream in Q1FY24.Management continues to maintain revenue guidance of 15-17% on full year basis with 16-18% EBITDA margin. We believe export sales are necessary to maintain above guidance which we will monitor over next 2 quarters. Seasonally, Q3 is the strongest quarter for Heranba owing to export sales in seasonally strong Asia-pacific region.

Company continues to trade at attractive valuation of 8x FY24E EPS of Rs.62 at CMP of Rs.521 & **we have a BUY rating** on the stock valuing the company at 12x FY24E EPS arriving at a **target price of Rs.750** implying an upside of ~44%

About the Company:

Heranba Industries (Heranba) was incorporated as an agrochemical company in 1992. It is also one of the leading domestic producers of synthetic pyrethroids with a market share of 19.5% in domestic pyrethroid market. The company is present in the entire product value chain of the agrochemicals industry (i.e. Intermediates, Technical and Formulations)

Business verticals include:

(a) Domestic bulk sales of Technical
(b) Technical bulk exports
(c) Branded formulations
(d) Formulations exports

Heranba has more than 9,400 dealers across sixteen (16) states and one (1) union territory in India supporting the distribution of its products. It has four manufacturing facilities in and around Vapi with a capacity of ~15,000 MTPA.

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Sales	10,044	9,514	12,186	14,504	16,969	19,854
Total Operating Expenses	6,978	6,374	7,795	9,306	11,200	13,104
Employee Cost	380	465	522	584	678	759
Other Expenses	1,373	1,381	1,656	2,016	2,148	2,496
Operating Profit	1,314	1,293	2,213	2,598	2,943	3,495
Depreciation	60	82	147	198	259	337
PBIT	1,255	1,211	2,067	2,400	2,685	3,158
Other income	74	165	70	194	213	234
Interest	107	88	54	41	49	49
PBT	1,221	1,288	2,083	2,553	2,849	3,343
exceptional)	1,221	1,288	2,083	2,553	2,849	3,343
Provision for tax	467	312	541	662	718	842
Reported PAT	754	977	1,542	1,891	2,131	2,501
MI	-	-	-	-	-	-
Net Profit	754	977	1,542	1,891	2,131	2,501
Adjusted Profit (excl Exceptionals)	754	977	1,542	1,891	2,131	2,501

Balance Sheet	FY19	FY20	FY21	FY22	FY23E	FY24E
Equity capital	391	391	400	400	400	400
Reserves	1,891	2,818	4,881	6,744	8,727	11,040
Net worth	**2,282**	**3,208**	**5,281**	**7,145**	**9,127**	**11,440**
Non Current Liabilites	103	86	101	156	164	172
Current Liabilites	3,220	2,953	3,051	3,386	5,156	5,899
TOTAL LIABILITIES	**5,604**	**6,248**	**8,433**	**10,686**	**14,447**	**17,510**
Non Current Assets	**1,088**	**1,534**	**1,881**	**2,299**	**2,905**	**3,761**
Fixed Assets	671	1,332	1,431	2,077	2,693	3,530
Goodwill	-	-	-	-	-	-
Non Current Investments	0	37	101	21	21	21
Deferred Tax Asset	1	-	10	28	-	-
Other Financial Assets	71	84	242	114	125	138
Other Non Current Assets	345	81	97	60	66	72
Current Assets	**4,516**	**4,713**	**6,552**	**8,387**	**11,543**	**13,749**
Current investments						
Inventories	1,139	1,455	1,660	2,557	2,557	2,992
Trade Receivables	2,533	2,585	3,418	4,096	4,742	5,548
Cash and Bank Balances	210	32	848	1,199	3,656	4,563
Short Term Loans and Advances	15	26	20	20	22	24
Other Current Assets	619	615	607	515	566	623
TOTAL ASSETS	**5,604**	**6,248**	**8,433**	**10,686**	**14,447**	**17,510**

Cash Flow St. (Rs. mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Profit	754	977	1,542	1,891	2,131	2,501
Add: Dep. & Amort.	60	82	147	198	259	337
Cash profits	**814**	**1,059**	**1,689**	**2,088**	**2,389**	**2,837**
(Inc)/Dec in						
-Sundry debtors	(502)	(52)	(833)	(679)	(646)	(806)
-Inventories	(199)	(316)	(205)	(898)	0	(435)
-Loans/advances	-	(9)	9	-	-	-
- Other Current Assets	(109)	253	(168)	258	(71)	(78)
-Current Liab and Provisions	102	97	170	(71)	33	35
Sundry Creditors	568	(227)	(169)	487	1,742	711
Change in working capital	(140)	(255)	(1,196)	(903)	1,059	(572)
CF from Oper. activities	674	804	493	1,185	3,448	2,265
CF from Inv. activities	(257)	(780)	(310)	(763)	(875)	(1,174)
CF from Fin. activities	(326)	(202)	632	(71)	(116)	(184)
Cash generated/(utilised)	92	(178)	816	351	2,457	907
Cash at start of the year	118	210	32	848	1,199	3,656
Cash at end of the year	210	32	848	1,199	3,656	4,563

Ratios	FY19	FY20	FY21	FY22	FY23E	FY24E
OPM	13.08%	13.60%	18.16%	17.91%	17.35%	17.60%
NPM	7.45%	10.09%	12.58%	12.86%	12.40%	12.45%
Tax Rate	38.26%	24.20%	25.95%	25.93%	25.20%	25.20%
Growth Ratios (%)						
Net Sales	35.51%	-5.28%	28.09%	19.02%	17.00%	17.00%
Operating Profit	49.66%	-1.57%	71.12%	17.36%	13.32%	18.73%
PBIT	60.04%	5.50%	61.66%	22.55%	11.60%	17.36%
PAT	60.86%	29.52%	57.93%	22.59%	12.70%	17.36%
Per Share (Rs.)						
Net Earnings (EPS)	19.3	25.0	38.5	47.3	53.3	62.5
Cash Earnings (CPS)	20.8	27.1	42.2	52.2	59.7	70.9
Dividend	1.0	1.0	1.7	2.7	3.7	4.7
Book Value	58	82	132	179	228	286
Free Cash Flow	281	(562)	125	(154)	2,280	821
Valuation Ratios						
P/E(x)	27	21	14	11	10	8
P/B(x)	8.9	6.3	3.9	2.9	2.3	1.8
EV/EBIDTA(x)	15.7	16.0	9.2	7.8	6.0	4.8
Div. Yield(%)	0.19%	0.19%	0.33%	0.52%	0.71%	0.90%
FCF Yield(%)	53.87%	-107.94%	23.92%	-29.49%	437.69%	157.60%
Return Ratios (%)						
ROE	33.05%	30.44%	29.20%	26.46%	23.34%	21.86%
ROCE	45.12%	33.29%	35.73%	31.30%	27.82%	26.40%

Source: Dalal & Broacha Research, Company

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